

Employing in Vietnam

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Labour Code 2019
- **Monthly payroll** — salary payments in VND, itemised payslips
- **Tax withholding** — Personal Income Tax (PIT) calculated and remitted monthly
- **SHUI** — Social Insurance, Health Insurance and Unemployment Insurance contributions
- **Leave and termination management** — notice periods, entitlements and severance/job-loss allowance guidance

Employment Conditions

Contracts & Probation

The Labour Code 2019 permits only two contract types: indefinite-term and fixed-term (capped at 36 months, renewable once before converting to indefinite). Probation length is tied to the role's complexity.

Role Type	Maximum Probation	Legal Basis
Senior manager	180 days	Labour Code 2019, Art. 25
Professional/technical (university degree+)	60 days	Labour Code 2019, Art. 25
Intermediate skill roles	30 days	Labour Code 2019, Art. 25
Other roles	6 working days	Labour Code 2019, Art. 25

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 48 hrs/week	Labour Code 2019, Art. 105
Overtime premium (weekday)	150% of hourly rate	Labour Code 2019, Art. 98
Overtime premium (rest day / holiday)	200% / 300% respectively	Labour Code 2019, Art. 98
Overtime cap	40 hours/month, 200 hours/year (300 hours for certain industries)	Labour Code 2019, Art. 107

Minimum Wage & Social Insurance (2026)

Measure	Rate	Notes
Region I minimum wage (Hanoi/HCMC urban)	~VND 5,310,000/month	+7.2% average increase for 2026 across all regions
Social Insurance (SI, employer)	17.5% of salary	Capped at 20x base salary (VND 50,600,000/month from 1 Jul 2026)
Health Insurance (HI, employer)	3% of salary	Same salary cap as SI
Unemployment Insurance (UI, employer)	1% of salary	Capped at 20x regional minimum wage (higher cap than SI/HI)

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	12 days/year (14–16 for hazardous/heavy work)	Employer	Increases by 1 day per 5 years of service with the same employer
Maternity Leave	6 months	Social Insurance fund	Requires 6+ months' SI contribution within the 12 months before birth
Paternity Leave	5–14 days (varies by delivery type)	Social Insurance fund	Within the first 30 days after birth
Sick Leave	30–70 days/year (scales with SI contribution history)	Social Insurance fund	75% of salary, paid by SI not the employer

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Social Insurance (17.5%)	\$525.00	17.50%
Health Insurance (3%)	\$90.00	3.00%
Unemployment Insurance (1%)	\$30.00	1.00%
Trade union fund (2%, where applicable)	\$60.00	2.00%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%

EOR service fee (HeroForce, Tier 2)	\$500.00	10.07%
Estimated total monthly cost	~\$4,205.00	~140.2%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. SI/HI contributions are capped at VND 50,600,000/month gross (roughly USD \$1,900), so at higher salaries the employer contribution percentage effectively shrinks. Employee deductions (withheld separately) include SI/HI/UI (10.5% combined) and progressive PIT.

Personal Income Tax (PIT, 2026)

PIT is progressive across 5 (previously 7) brackets, withheld monthly on employment income after deducting compulsory insurance and personal allowances.

Monthly Taxable Income (VND)	Rate
0 – 5,000,000	5%
5,000,001 – 10,000,000	10%
10,000,001 – 18,000,000	15%
18,000,001 – 32,000,000	20%
32,000,001 – 52,000,000	25%
52,000,001 – 80,000,000	30%
Above 80,000,000	35%

Personal deduction: VND 15,500,000/month for the taxpayer, plus VND 6,200,000/month per registered dependent.

Termination & Separation

Notice Periods

Contract Type	Notice Required	Key Rule
Indefinite-term contract	45 days	Labour Code 2019, Art. 36
Fixed-term contract (12–36 months)	30 days	Labour Code 2019, Art. 36
Fixed-term contract (under 12 months)	3 working days	Labour Code 2019, Art. 36

Severance & Job-Loss Allowance

Vietnam has two distinct end-of-employment payments — Severance Allowance (trợ cấp thôi việc) for pre-2009 service not covered by unemployment insurance, and Job-Loss Allowance (trợ cấp mất việc làm) for redundancy — plus the government-run Unemployment Insurance benefit that covers most modern service.

Payment Type	Formula	Trigger
Severance Allowance	0.5 month's salary per year of service not covered by UI	Resignation, contract expiry, mutual agreement (pre-2009 service only in practice)
Job-Loss Allowance	1 month's salary per year of service (minimum 2 months)	Redundancy/restructuring, for service not covered by UI

★ HERO TIP

Because Vietnam's Unemployment Insurance scheme has covered most employees since 2009, actual employer-funded severance/job-loss liability is often minimal for employees hired after that date — but this is frequently misunderstood by foreign employers who assume a full severance liability applies. Confirm the employee's UI contribution history with your HeroForce EOR before budgeting for an exit.

Public Holidays 2026

Vietnam observes a total of 26 days off in 2026 including weekends and substituted days, built around a small number of official holidays plus the multi-day Tet (Lunar New Year) break — the government confirmed a new addition, Culture Day, for 2026.

Date(s)	Holiday	Type
1 January	New Year's Day	National
14–22 February	Tet Holiday (Lunar New Year)	National — Vietnam's most significant holiday period
26 April (observed 27 April)	Hung Kings' Temple Festival	National (lunar calendar)
30 April	Reunification Day	National
1 May	International Labour Day	National
1–2 September	National Day	National
24 November	Culture Day (new for 2026)	National

The government has confirmed no working-day swap will extend the April break into a 9-day holiday in 2026, unlike some previous years.

Ready to hire in Vietnam?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Vietnam employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).